

TABLE 9-5 Comparison of Two Leading Closed-End Companies^a

	1970	5 years, 1966-1970	10 years, 1961-1970	Premium or Discount, December 1970
General Am.				
Investors Co.	-0.3%	+34.0%	+165.6%	7.6% discount
Lehman Corp.	-7.2	+20.6	+108.0	13.9% premium

^a Data from Wiesenberger Financial Services.

Investment in Balanced Funds

The 23 balanced funds covered in the Wiesenberger Report had between 25% and 59% of their assets in preferred stocks and bonds, the average being just 40%. The balance was held in common stocks. It would appear more logical for the typical investor to make his bond-type investments directly, rather than to have them form part of a mutual-fund commitment. The average income return shown by these balanced funds in 1970 was only 3.9% per annum on asset value, or say 3.6% on the offering price. The better choice for the bond component would be the purchase of United States savings bonds, or corporate bonds rated A or better, or tax-free bonds, for the investor's bond portfolio.